

Understanding the Risks and Methods of Financial Crime

Domain A Complete Q&A Review

Understanding the *Regulatory Principles* Behind Each Answer

Compliance Training Department _____

Agenda Domain A Topics

1. Definitions of AML, CFT, Sanctions, Fraud, ABC, Tax Evasion (Q1-Q6)
2. Financial Systems and Consequences of ML (Q7-Q10)
3. Predicate Crimes (Q11-Q14)
4. How ML, TF, Sanctions, Bribery, Tax Evasion, Fraud Manifest (Q15-Q20)
5. Banking Sector Product Risks (Q21-Q24)
6. Banking High-Risk Sectors (Q25-Q28)
7. PEP and High-Risk Customer Risks (Q29-Q32)
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9. MSB, PSP, and E-Commerce Risks (Q37-Q40)
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17. Other High-Risk Sectors and Structures (Q69-Q72)

Q1: Definition of Money Laundering

Topic: Definitions of AML, CFT, Sanctions, Fraud, ABC, Tax Evasion

Which of the following best defines money laundering?

Correct Answer: The process of making illicit funds appear legitimate by concealing their true origin through a series of transactions.

Core Concept: Money laundering has three stages:

Placement: Introducing illicit funds into the financial system.

Layering: Moving funds through complex transactions to obscure origin.

Integration: Returning "cleaned" funds to the legitimate economy.

✗ **Common Trap:** "Money laundering is simply hiding money" INCORRECT. It is a **process** with three distinct stages.

Key Insight: The goal of money laundering is to make illicit funds **appear legitimate** so they can be used without raising suspicion.

Q2: Definition of Terrorist Financing

Topic: Definitions CFT

Which of the following best defines terrorist financing?

Correct Answer: The provision or collection of funds, by any means, directly or indirectly, with the intention that they should be used to carry out terrorist acts.

Core Concept: Key differences from ML:

Source: TF funds may be legitimate (charity donations).

Amount: TF can involve small amounts.

Intent: The critical element is **intent** to support terrorism.

Destination: TF is about **where** the money is going.

✗ **Common Trap:** "Terrorist financing always involves illegal money" INCORRECT. TF funds can come from **legitimate sources** but are used for illegal purposes.

Key Insight: TF is about **purpose**, not source. Even legitimate funds can be terrorist financing if intended for terrorism.

Q3: Definition of Sanctions

Topic: Definitions Sanctions

Which of the following best defines sanctions in the financial crime context?

Correct Answer: Legal restrictions imposed by governments or international bodies against designated countries, individuals, or entities to achieve foreign policy or national security objectives.

Core Concept: Types of sanctions:

Country/Regime Sanctions: Comprehensive restrictions.

Targeted Sanctions: Against specific individuals or entities.

Sectoral Sanctions: Restrictions on specific industries.

Asset Freezes: Freezing assets of designated persons.

✗ **Common Trap:** "Sanctions are optional recommendations" INCORRECT. Sanctions are **legally binding** and violations carry severe penalties.

Key Insight: Sanctions are **strict liability** no intent is required for a violation.

Q4: Definition of Fraud

Topic: Definitions Fraud

Which of the following best defines financial fraud?

Correct Answer: Intentional deception or misrepresentation made for personal gain or to damage another individual, involving financial transactions or assets.

Core Concept: Common fraud types:

Identity Theft: Using stolen personal information.

Synthetic Identity Fraud: Creating fake identities.

Investment Fraud: False investment opportunities.

Payment Fraud: Unauthorized transactions.

Insurance Fraud: False insurance claims.

Key Insight: Fraud and money laundering often overlap fraud generates proceeds that need laundering.

Q5: Definition of Anti-Bribery and Corruption

Topic: Definitions ABC

Which of the following best defines bribery?

Correct Answer: The offering, giving, receiving, or soliciting of anything of value to influence an action or decision.

Core Concept: Key distinctions:

Bribery: Paying for influence (illegal).

Facilitation Payment: Small payment to speed routine action (allowed under FCPA, prohibited under UK Bribery Act).

Hospitality: Legitimate business entertainment (must be proportionate).

Corruption: Abuse of entrusted power for private gain.

✗ **Common Trap:** "All payments to officials are bribery" INCORRECT. Facilitation payments are treated differently under different laws.

Key Insight: The **UK Bribery Act** is stricter than the FCPA it prohibits facilitation payments.

Q6: Definition of Tax Evasion

Topic: Definitions Tax Evasion

Which of the following best defines tax evasion?

Correct Answer: The illegal act of deliberately not paying taxes that are legally owed, typically through concealment or misrepresentation.

Core Concept: Distinction:

Tax Evasion: Illegal misrepresentation, concealment.

Tax Avoidance: Legal using legitimate methods to reduce tax liability.

✗ **Common Trap:** "Tax evasion and tax avoidance are the same" INCORRECT. Evasion is **illegal**; avoidance is **legal**.

Key Insight: Tax evasion is a predicate offense for money laundering in many jurisdictions.

Q7: Economic Consequences of ML

Topic: Financial Systems and Consequences of ML

What is an economic consequence of money laundering?

Correct Answer: Distortion of economic statistics and misallocation of resources, undermining legitimate economic activity.

Core Concept: Economic consequences:

Distorted Statistics: GDP and economic data become unreliable.

Misallocation of Resources: Capital flows to criminal enterprises.

Increased Volatility: Sudden capital movements.

Reduced Foreign Investment: Countries perceived as high-risk.

Key Insight: Money laundering **undermines** legitimate economic activity by distorting markets.

Q8: Reputational Consequences of ML

Topic: Reputational Consequences

What is a reputational consequence of money laundering for a financial institution?

Correct Answer: Loss of customer trust, reduced business opportunities, and damage to brand value.

Core Concept: Reputational impacts:

Trust Erosion: Customers lose confidence.

Business Loss: Clients and partners withdraw.

Brand Damage: Negative media coverage.

Regulatory Scrutiny: Increased supervision.

Key Insight: Reputational damage can be **more severe** than financial penalties.

Q9: Social Consequences of ML

Topic: Social Consequences

What is a social consequence of money laundering?

Correct Answer: Increased crime, corruption, and social inequality as illicit funds fuel criminal enterprises.

Core Concept: Social impacts:

Crime Increase: Laundered funds fuel more crime.

Corruption: Criminal influence over institutions.

Inequality: Illicit wealth concentration.

Weak Rule of Law: Undermines legal institutions.

Key Insight: Money laundering is not a victimless crime it fuels **organized crime** and **corruption**.

Q10: Regulatory Penalties for AML Violations

Topic: Regulatory Penalties

What is a potential penalty for AML/CFT regulatory violations?

Correct Answer: Significant financial fines, criminal prosecution of individuals, and revocation of licenses.

Core Concept: Types of penalties:

Civil Penalties: Financial fines (e.g., US BSA, UK FCA).

Criminal Penalties: Imprisonment for individuals.

Administrative Penalties: License suspension or revocation.

Personal Liability: Compliance officers and senior management.

Key Insight: Under **FATF Recommendation 35**, sanctions must be effective, proportionate, and dissuasive.

Q11: Predicate Offenses

Topic: Predicate Crimes

What is a predicate offense in the context of money laundering?

Correct Answer: A criminal offense that generates proceeds that are then laundered through the financial system.

Core Concept: FATF Recommendations define predicate offenses:

UN Convention Categories: Drug trafficking, corruption, fraud, human trafficking.

FATF Expansion: Tax crimes, environmental crimes, counterfeiting.

EU 6AMLD: Expanded to include 22 predicate offenses.

Key Insight: Under FATF standards, **all serious offenses** should be predicate offenses for ML.

Q12: Drug Trafficking and ML

Topic: Drug Trafficking

Why is drug trafficking a major source of money laundering proceeds?

Correct Answer: Drug trafficking generates enormous cash proceeds that must be laundered to be used in the legitimate economy.

Key Insight: The **cash-intensive nature** of drug trafficking makes it a major ML source.

Q13: Corruption and ML

Topic: Corruption

How does corruption relate to money laundering?

Correct Answer: Corruption proceeds (bribes, embezzlement) must be laundered through the financial system to appear legitimate.

Key Insight: Corruption and money laundering are **interconnected** one enables the other.

Q14: Human Trafficking and ML

Topic: Human Trafficking

Why is human trafficking associated with money laundering?

Correct Answer: Human trafficking generates significant proceeds that must be laundered through the financial system.

Key Insight: Human trafficking is a high-profit, low-risk crime for traffickers, generating substantial proceeds.

Q15: ML in Banking Sector

Topic: Manifestation in Banking

How does money laundering manifest in the banking sector?

Correct Answer: Through deposits of illicit funds, layering via wire transfers, and integration through investments.

Core Concept: Banking ML methods:

Placement: Cash deposits, currency exchange.

Layering: Wire transfers, multiple accounts, shell companies.

Integration: Investments, loans, asset purchases.

Key Insight: Banking is the most common sector for money laundering due to the ease of moving funds.

Q16: TF in Banking Sector

Topic: TF in Banking

How does terrorist financing manifest in the banking sector?

Correct Answer: Through small value wire transfers, charitable donations, and use of multiple accounts to avoid detection.

Key Insight: TF often involves **small amounts** to avoid triggering reporting thresholds.

Q17: Sanctions Evasion in Banking

Topic: Sanctions Evasion

How do banks facilitate sanctions evasion?

Correct Answer: Through use of shell companies, third-party intermediaries, and complex payment structures to hide sanctioned parties.

Key Insight: Sanctions evasion is a **strict liability** offense intent is not required for a violation.

Q18: Bribery in Banking

Topic: Bribery in Banking

How does bribery manifest in the banking sector?

Correct Answer: Through payments to bank officials to facilitate transactions, bypass controls, or access confidential information.

Key Insight: Bribery undermines **internal controls** and enables other financial crimes.

Q19: Tax Evasion in Banking

Topic: Tax Evasion

How does tax evasion manifest in the banking sector?

Correct Answer: Through offshore accounts, shell companies, and complex structures to conceal assets and income from tax authorities.

Key Insight: Tax evasion is a predicate offense for ML in many jurisdictions.

Q20: Fraud in Banking

Topic: Fraud in Banking

How does fraud manifest in the banking sector?

Correct Answer: Through unauthorized transactions, identity theft, and misrepresentation in loan or credit applications.

Key Insight: Fraud proceeds must be laundered, creating a **dual crime** fraud + ML.

Topic: Banking Product Risks Trade Finance

What is a money laundering risk in trade finance?

Correct Answer: Over/under-invoicing to move value across borders while disguising the true purpose of the transaction.

Core Concept: Trade-based ML:

Over-invoicing: Moving money out of a country.

Under-invoicing: Moving money into a country.

Misclassification: Changing goods descriptions.

Multiple Invoicing: Using multiple invoices for the same goods.

Key Insight: Trade-based ML is **difficult to detect** because it appears as legitimate trade.

Q22: Wealth Management Risks

Topic: Wealth Management

What is a money laundering risk in wealth management?

Correct Answer: Use of offshore structures, trusts, and complex investment vehicles to conceal ownership and source of funds.

Key Insight: Wealth management is attractive to launderers due to **complexity** and **confidentiality**.

Q23: Correspondent Banking Risks

Topic: Correspondent Banking

What is a risk in correspondent banking?

Correct Answer: The respondent bank may have weaker AML controls, creating a channel for illicit funds to enter the financial system.

Key Insight: Correspondent banking is a **gateway** for cross-border money laundering.

Q24: Private Banking Risks

Topic: Private Banking

What is a risk in private banking?

Correct Answer: Discretion and personalized service can be exploited to conceal illicit activity and bypass standard controls.

Key Insight: Private banking high-risk features include **numbered accounts**, **relationship discretion**, and **high asset requirements**.

Q25: Banking High-Risk Sectors DNFBPs

Topic: High-Risk Sectors

Why is banking DNFBPs (lawyers, accountants) considered high-risk?

Correct Answer: DNFBPs handle client money and can facilitate transactions that conceal the source of funds.

Key Insight: DNFBPs are **gatekeepers** who can enable money laundering without knowing it.

Q26: Banking High-Risk Sectors Casinos

Topic: Casinos

Why is banking casinos considered high-risk?

Correct Answer: Casinos handle large amounts of cash and can be used for placement and layering of illicit funds.

Key Insight: Casinos are **cash-intensive businesses** that can commingle illicit and legitimate funds.

Q27: Banking High-Risk Sectors Real Estate

Topic: Real Estate

Why is banking real estate considered high-risk?

Correct Answer: Real estate purchases can be used to launder large sums of money through asset purchases.

Key Insight: Real estate is attractive for **integration** converting illicit funds into legitimate assets.

Q28: Banking High-Risk Sectors Cryptocurrency

Topic: Cryptocurrency

Why is banking cryptocurrency exchanges considered high-risk?

Correct Answer: Pseudonymous transactions and rapid value transfer make crypto exchanges attractive for money laundering.

Key Insight: Cryptocurrency exchanges are **VASPs** and are subject to FATF Recommendation 16 (Travel Rule).

Topic: PEP and High-Risk Customers

What is a Politically Exposed Person (PEP)?

Correct Answer: An individual entrusted with a prominent public function, who is at higher risk of corruption or bribery.

Core Concept: PEP categories:

Foreign PEPs: From other countries (highest risk).

Domestic PEPs: From the institution's country (lower risk).

International Organization PEPs: In international bodies.

Family and Close Associates: Also covered.

Key Insight: Under **FATF Recommendation 12**, institutions must have EDD for PEPs.

Q30: PEP Risk Factors

Topic: PEP Risk Factors

What increases the ML risk for a PEP?

Correct Answer: Indirect ownership structures, offshore accounts, and transactions inconsistent with known income.

Key Insight: PEPs using **indirect ownership** intermediaries present the greatest concern.

Q31: High-Risk Customer Indicators

Topic: High-Risk Customers

What are indicators of a high-risk customer?

Correct Answer: Complex ownership structures, high-risk jurisdictions, unexplained wealth, and unusual transaction patterns.

Key Insight: Complexity + Opacity + High-Risk Jurisdiction = high-risk customer.

Q32: Enhanced Due Diligence for PEPs

Topic: PEP EDD

What is required for PEPs under FATF Recommendation 12?

Correct Answer: Enhanced due diligence including source of funds/wealth verification, senior management approval, and ongoing monitoring.

Key Insight: EDD for PEPs is **mandatory**, not optional.

Q33: Securities Sector Risks

Topic: Other Financial Sector Risks

What is a money laundering risk in the securities sector?

Correct Answer: Market manipulation and insider trading generate illicit profits that must be laundered.

Key Insight: The securities sector can be used for both **generating** and **laundering** illicit funds.

Q34: Investment Fund Risks

Topic: Investment Funds

What is a risk in investment funds?

Correct Answer: Use of funds to commingle illicit and legitimate investments, obscuring the source of funds.

Key Insight: Investment funds can be used for **integration** of laundered funds.

Q35: Leasing and Financing Risks

Topic: Leasing and Financing

What is a risk in asset leasing and financing?

Correct Answer: Over-valuation of assets to move value, or using lease payments to layer funds.

Key Insight: Asset financing can be used for **over-invoicing** and value transfer.

Q36: Pension Fund Risks

Topic: Pension Funds

What is a risk in pension funds?

Correct Answer: Illicit funds can be invested in pension funds, later withdrawn as "clean" retirement benefits.

Key Insight: Pension funds provide a **long-term** integration vehicle.

Topic: MSB, PSP, E-Commerce

What is a money laundering risk for Money Services Businesses (MSBs)?

Correct Answer: Agent networks in high-risk jurisdictions with weak AML controls.

Key Insight: MSB agent networks influence both **operational** and **geographic** risk exposure.

Q38: PSP Risks

Topic: PSP Risks

What is a risk for Payment Service Providers (PSPs)?

Correct Answer: Facilitating fraudulent transactions and operating in jurisdictions with limited regulatory oversight.

Key Insight: PSPs are **gateways** for e-commerce fraud and money laundering.

Q39: E-Commerce Platform Risks

Topic: E-Commerce

What is a money laundering risk on e-commerce platforms?

Correct Answer: Using fake transactions or over/under-invoicing to move value across borders.

Key Insight: E-commerce platforms can be used for **trade-based money laundering**.

Q40: Mitigating E-Commerce Risks

Topic: E-Commerce Mitigation

How can e-commerce platforms mitigate ML risk?

Correct Answer: Tiered onboarding based on sales activity, sanctions screening, and transaction monitoring.

Key Insight: Tiered onboarding based on risk is an effective control.

Q41: Life Insurance Risks

Topic: Insurance Product Risks

What is a money laundering risk in life insurance?

Correct Answer: Overpayment of premiums then early surrender, or using policies to conceal wealth.

Key Insight: Life insurance can be used for **placement** and **integration**.

Q42: Property/Casualty Insurance Risks

Topic: Property/Casualty

What is a risk in property/casualty insurance?

Correct Answer: Fraudulent claims to convert illicit funds into legitimate claim payments.

Key Insight: Insurance fraud generates proceeds that need laundering.

Q43: Reinsurance Risks

Topic: Reinsurance

What is a risk in reinsurance?

Correct Answer: Complex transactions that obscure the flow of funds across borders.

Key Insight: Reinsurance complexity can hide **cross-border** fund movement.

Q44: Insurance CDD Requirements

Topic: Insurance CDD

What CDD is required for insurance products under FATF?

Correct Answer: Identification of the policyholder and beneficiary, with EDD for high-risk policies.

Key Insight: Under **FATF Recommendation 10**, insurance companies are covered entities.

Q45: VASP Definition

Topic: VASP and Cryptoassets

What is a Virtual Asset Service Provider (VASP)?

Correct Answer: A person or entity conducting virtual asset exchange, transfer, or custody services for third parties.

Key Insight: FATF extends AML requirements to VASPs under **Recommendation 16**.

Q46: Cryptoasset ML Risks

Topic: Cryptoasset Risks

What is a money laundering risk in cryptoassets?

Correct Answer: Pseudonymity, rapid cross-border transfer, and use of privacy coins/mixers to obscure transactions.

Key Insight: Privacy coins (Monero, Zcash) and mixers (Tornado Cash) are **challenges** for tracing.

Q47: Travel Rule for VASPs

Topic: Travel Rule

What is the Travel Rule requirement for VASPs?

Correct Answer: VASPs must collect and share originator and beneficiary information for virtual asset transfers.

Key Insight: The Travel Rule applies to VASPs under **FATF Recommendation 16**.

Q48: DeFi and ML Risks

Topic: DeFi Risks

What is a risk in Decentralized Finance (DeFi)?

Correct Answer: Lack of centralized oversight makes tracing and AML controls difficult.

Key Insight: DeFi platforms can be used for **rapid, anonymous** value transfer.

Topic: Gaming and Gambling

What is a money laundering risk in casinos?

Correct Answer: Cash purchase of chips, minimal play, then cash out with clean funds (placement/layering).

Key Insight: Casinos can be used for both **placement** and **layering**.

Q50: Online Gambling Risks

Topic: Online Gambling

What is a risk in online gambling?

Correct Answer: Deposits and withdrawals via multiple payment methods, obscuring the source of funds.

Key Insight: Online gambling is **high-risk** due to cross-border payment complexity.

Q51: Sports Betting Risks

Topic: Sports Betting

What is a risk in sports betting?

Correct Answer: Match-fixing and insider betting generate proceeds that need laundering.

Key Insight: Sports betting can be used to **generate** and **launder** funds.

Q52: Gaming CDD Requirements

Topic: Gaming CDD

What CDD is required for gaming establishments?

Correct Answer: Identification at set thresholds, transaction monitoring, and STR filing.

Key Insight: Gaming establishments are **covered entities** under FATF.

Q53: Real Estate ML Risks

Topic: Real Estate

What is a money laundering risk in real estate?

Correct Answer: Purchase of property with illicit funds, over/under-valuation, and use of shell companies to hide ownership.

Key Insight: Real estate is a preferred **integration** vehicle.

Q54: Real Estate Shell Companies

Topic: Shell Companies in Real Estate

Why are shell companies used in real estate money laundering?

Correct Answer: They conceal beneficial ownership and make tracing the source of funds difficult.

Key Insight: Shell companies in real estate are a **key red flag**.

Q55: Real Estate Over-Valuation

Topic: Over-Valuation

How is over-valuation used in real estate money laundering?

Correct Answer: Property is purchased above market value, with the difference returned to the buyer as "clean" proceeds.

Key Insight: Over-valuation is a form of **value transfer**.

Q56: Real Estate EDD Requirements

Topic: Real Estate EDD

What EDD is required for high-risk real estate transactions?

Correct Answer: Source of funds verification, beneficial ownership identification, and transaction monitoring.

Key Insight: Real estate agents are covered under **FATF Recommendation 22**.

Q57: Gatekeeper Definition

Topic: Gatekeeper Risks

What is a gatekeeper in the AML context?

Correct Answer: Professionals who facilitate financial transactions or provide services that can be exploited for money laundering.

Key Insight: Gatekeepers include lawyers, accountants, and TCSPs.

Q58: Lawyer Gatekeeper Risks

Topic: Lawyer Risks

What is a risk with lawyers as gatekeepers?

Correct Answer: Handling client funds in escrow accounts, creating structures to conceal ownership.

Key Insight: Lawyers are covered under **FATF Recommendation 22**.

Q59: Notary Gatekeeper Risks

Topic: Notary Risks

What is a risk with notaries as gatekeepers?

Correct Answer: Authenticating documents that may be used to conceal or transfer ownership of illicit assets.

Key Insight: Notaries are covered under **FATF Recommendation 22**.

Q60: Mitigating Gatekeeper Risks

Topic: Mitigating Gatekeeper Risks

How can gatekeeper risks be mitigated?

Correct Answer: Training, client acceptance committees, and standardized due diligence questionnaires.

Key Insight: Training and client acceptance committees are effective controls.

Q61: TCSP Definition

Topic: Trust and Company Service Providers

What is a Trust and Company Service Provider (TCSP)?

Correct Answer: An entity providing services such as company formation, registered office, nominee directors, and trust services.

Key Insight: TCSPs are covered under **FATF Recommendation 23**.

Q62: TCSP ML Risks

Topic: TCSP Risks

What is a money laundering risk in TCSP services?

Correct Answer: Formation of companies to conceal beneficial ownership and facilitate layering of illicit funds.

Key Insight: TCSPs can create **vehicles** for money laundering.

Q63: TCSP Red Flags

Topic: TCSP Red Flags

What are red flags for TCSP clients?

Correct Answer: Requesting confidentiality for shareholders, high-risk jurisdictions, and refusal to disclose beneficial ownership.

Key Insight: TCSPs should **decline** clients who refuse UBO disclosure.

Q64: TCSP CDD Requirements

Topic: TCSP CDD

What CDD is required for TCSPs?

Correct Answer: Identify the client and beneficial owner, understand the purpose, and monitor the relationship.

Key Insight: CDD for TCSPs is **mandatory** under FATF.

Q65: Accountant Gatekeeper Risks

Topic: Accountant Risks

What is a money laundering risk with accountants?

Correct Answer: Preparing accounts that conceal the source of funds and facilitating tax evasion.

Key Insight: Accountants can be used to **conceal** illicit activity.

Q66: Accountant Red Flags

Topic: Accountant Red Flags

What are red flags for accountants?

Correct Answer: Clients who refuse to provide source of funds, complex structures without clear business purpose.

Key Insight: Accountants must **question** unusual client requests.

Q67: Accountant ML Facilitation

Topic: Accountant Facilitation

How can accountants facilitate money laundering?

Correct Answer: Creating false records, overstating expenses, and concealing beneficial ownership.

Key Insight: Accountants can be **willing** or **unwilling** facilitators.

Q68: Accountant Responsibilities

Topic: Accountant Responsibilities

What are accountants' AML responsibilities?

Correct Answer: CDD, record-keeping, and STR filing for suspicious activity.

Key Insight: Accountants are covered under **FATF Recommendation 22**.

Q69: Free-Trade Zone Risks

Topic: Other High-Risk Sectors

What is a money laundering risk in Free-Trade Zones (FTZs)?

Correct Answer: Lack of standardized inspection protocols for transshipped goods, enabling trade-based ML.

Key Insight: FTZs are **high-risk** due to limited oversight.

Q70: Precious Metals and Stones Risks

Topic: Precious Metals/Stones

What is a risk in precious metals and stones?

Correct Answer: High-value, portable, and easily concealed assets that can be used for value transfer.

Key Insight: Precious metals are covered under **FATF Recommendation 23**.

Q71: Art and Antiquities Risks

Topic: Art and Antiquities

What is a risk in art and antiquities?

Correct Answer: Subjective valuation makes over/under-invoicing easy, and sales can be anonymous.

Key Insight: Art is attractive for **value transfer** and **integration**.

Q72: Shell Companies and Trusts

Topic: Shell Companies/Trusts

What is the risk of shell companies and trusts?

Correct Answer: They conceal beneficial ownership and create opacity in financial transactions.

Key Insight: Shell companies are a **layering** tool.

SUMMARY: Key Principles Domain A

Understanding the Risks and Methods of Financial Crime:

Concept	Application
Money Laundering	3 stages: Placement, Layering, Integration
Terrorist Financing	Funds may be legitimate; intent is key
Sanctions	Strict liability; OFAC, UN, EU regimes
Fraud	Identity theft, synthetic fraud, payment fraud
Anti-Bribery	UK Act prohibits facilitation; FCPA allows
Tax Evasion	Illegal concealment; predicate for ML
ML Consequences	Economic, reputational, social
Predicate Crimes	Drug trafficking, corruption, human trafficking
Banking Products	Trade finance, wealth, correspondent, private
High-Risk Sectors	DNFBPs, casinos, real estate, crypto
PEPs	Foreign, domestic, int'l org; EDD mandatory
MSB/PSP/E-Commerce	Agent networks, fraud facilitation
Insurance	Life, property/casualty, reinsurance risks
VASP/Crypto	Travel Rule, privacy coins, DeFi risks
Gaming/Gambling	Casinos, online, sports betting
Real Estate	Shell companies, over-valuation
Gatekeepers	Lawyers, accountants, TCSPs
TCSPs	Company formation, nominee directors
FTZs	Limited inspection; trade-based ML
Precious Metals/Art	Subjective valuation; value transfer

FINAL LESSON: Domain A tests understanding of **how financial crime works** the definitions, methods, and sector-specific risks. Understand the *methods* and the *answers* become obvious.

Common Traps to Avoid:

- ▶ **TF vs ML:** TF funds can be **legitimate**; ML funds are **always illicit**.
- ▶ **Tax Evasion vs Avoidance:** Evasion is **illegal**; avoidance is **legal**.
- ▶ **Facilitation Payments:** Allowed under FCPA; **prohibited** under UK Bribery Act.
- ▶ **Placement vs Layering:** Placement = **entering** the system; Layering = **moving** to obscure origin.
- ▶ **Integration:** Converting illicit funds into **legitimate** assets.
- ▶ **PEP EDD:** EDD is **mandatory** under FATF Recommendation 12.
- ▶ **VASP Travel Rule:** VASPs must share originator/beneficiary information.
- ▶ **FTZ Risk:** **Lack of inspection** is the key vulnerability.
- ▶ **Gatekeepers:** Lawyers, accountants, TCSPs are **covered entities**.

Key Insight: Focus on understanding the *methods* criminals use in each sector.

Thank You

Keep learning. Keep growing.

Understanding financial crime risks is the foundation of effective AML/CFT compliance. End of Domain A Review

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